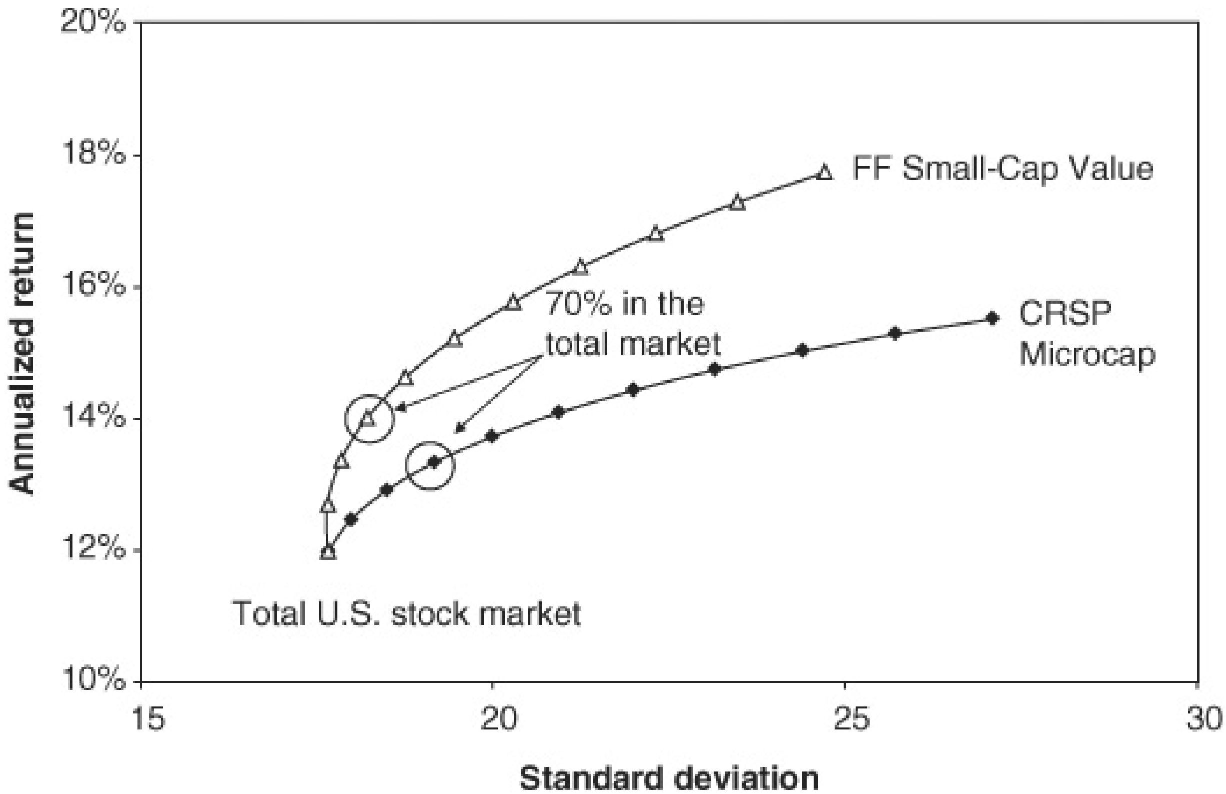

This is not to say that the return premiums will be as high 30 years from now or will materialize at all. The news is out about the former excess returns from size and styling investing, and many investors have already incorporated FF research into their portfolio construction. This could cause a reduction in risk premiums. It is impossible to know.

As a reminder, the returns in Figure 6-9 are theoretical because there were no total market mutual funds or small-cap value index funds or microcap index funds available in 1975. Thus no investor could actually have held a portfolio of 70 percent in a broad market index and 30 percent in either index. That is not the case today. You can now purchase a wide assortment of total stock market index funds along with competing low-cost small-cap value index funds and a few microcap funds.

U.S. EQUITY INVESTMENT LIST

TABLE 6-9
Select Low-Cost U.S. Equity Funds and ETFs